

website (www.floodsmart.gov). There are high-risk areas in surprising places; for example, towns in the hilly region of New England are susceptible to runoffs from melting snow in spring. (Who knew?) Even if you're not in a high-risk area, look into it. It's relatively inexpensive and could protect you from losing everything in a total disaster.

There's also specialized insurance for other natural disasters. Normal homeowners policies won't cover earthquake damage, so people in California in particular should buy earthquake insurance through the state's Earthquake Authority (www.earthquakeauthority.com).

If You Rent, Get Insurance

If you rent an apartment or house, the idea of buying **renters insurance**, also known as **tenants insurance** (or in insurance industry lingo, an HO-4 policy), may not have crossed your mind. You may figure that because you have few valuables and little or no savings, you don't need it. But you're wrong. The first and most obvious reason to buy it is to protect your personal property. If all your possessions were stolen or ruined in a fire, including your clothes, jewelry, stereo equipment, television, DVD player, computer, camera, sofa, and bike, a renters policy would cover you up to a fixed dollar amount.

In addition to protecting your possessions, a renters policy will offer you some liability protection inside and outside your home. If someone slips and falls in your apartment, your renters policy could cover that person's medical bills if you're held liable. If you accidentally leave the tap running when you go to work, ruin the floor and are held responsible, your renters insurance may pay for the cost of repairs. (For more general types of water damage, you'll probably need separate flood insurance. See the box on chapter 8.) And if you knock over a sculpture in an art gallery, your renters policy may protect you, up to a set maximum.

How to Reduce Your Homeowners or Renters Insurance Costs

The first step (as with health insurance) is to get a high deductible so you can keep your annual premiums low. Remember, this makes sense only if